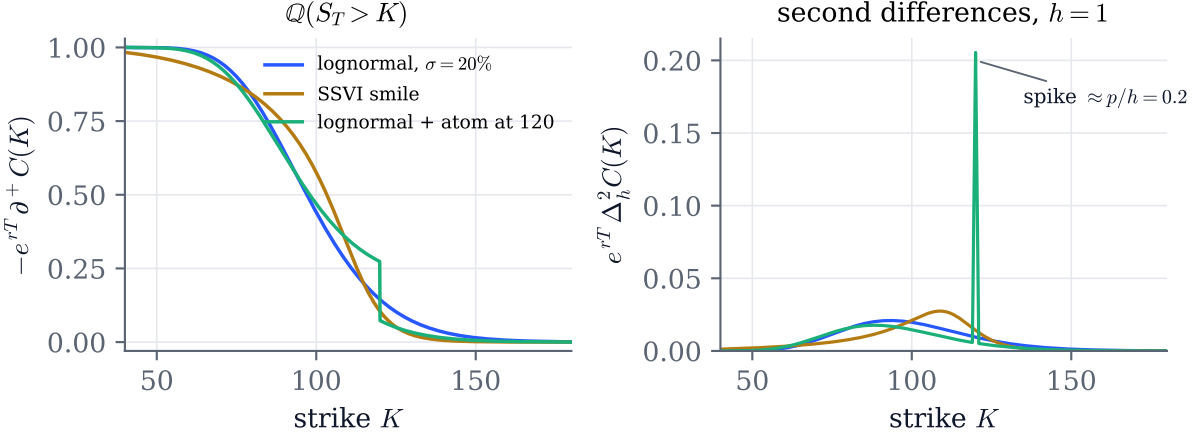
$\mathbb{Q}(S_T > K)$
lognormal, $\sigma = 20\%$
SSVI smile
lognormal + atom at 120
$-e^{rT}\,\partial^+ C(K)$
1.00
0.75
0.50
0.25
0.00
50
100
150
strike K
second differences, $h = 1$
spike $\approx p/h = 0.2$
$e^{rT}\,\Delta_h^2 C(K)$
0.20
0.15
0.10
0.05
0.00
50
100
150
strike K